Impact of the Iran–Israel Conflict on Global Financial Markets

A Case Study of Recent Market Reactions

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Abstract

This case study examines the short-term impact of the escalating Iran and Israel conflict on three key financial markets: equities, crude oil, and gold. Using a descriptive, trend-based analysis over an observation window of approximately 20 days from February 27 to March 20, 2026, the study tracks price movements across the S&P 500, Nifty 50, Brent Crude, and gold in relation to key conflict developments during this period.

The findings suggest a broadly consistent market response across assets. Brent Crude appeared most sensitive to the conflict, recording its sharpest movements around the time the Strait of Hormuz was closed. Among equity indices, the Nifty 50 declined more steeply and recovered more slowly than the S&P 500, potentially reflecting the greater vulnerability of oil-importing emerging economies to energy-driven geopolitical shocks. Gold held at elevated levels through the most uncertain part of the period, broadly consistent with its role as a store of value during times of stress.

This study does not claim definitive causal relationships, as other macroeconomic factors may have influenced markets during the same period. The longer-term consequences of this conflict on financial markets remain an open area for further research.

Introduction

Geopolitical risk is the possibility that political events, conflicts, or policy changes could disrupt economies, markets, and global supply chains. These risks can stem from many sources, such as wars, trade disputes, sanctions, or sudden changes in government leadership and policy. They typically surface during major power shifts, outbreaks of conflict, or periods of prolonged tensions, and their effects rarely remain within the borders of the countries involved.

It is worth noting that geopolitical risk does not always lead to bad outcomes. Sometimes it pushes governments and businesses to innovate and find smarter ways to operate. Other times, it can spiral into instability, conflict, and economic damage. What makes it so difficult to anticipate is that the outcome depends on how different actors, whether governments, investors, or institutions, choose to respond when faced with uncertainty.

Globalization has made all of this more complex. As economies have grown more interconnected, a political crisis in one corner of the world can send ripples across financial markets globally. When tensions are mild, markets tend to absorb the shock well, and some investors even find opportunities in sectors like defense. But as tensions rise, fear takes over. Capital moves away from riskier markets and toward safer assets like gold and government bonds. When a full-scale conflict or crisis erupts, the damage can be severe, with stock markets falling sharply, currencies losing value, and supply chains breaking down.

The conflict between Iran and Israel is a striking example of this. For years, it played out quietly through proxy forces and covert operations. Recently, however, it has crossed into open military confrontation, sending shockwaves through global markets. The roots of this rivalry go back decades, shaped by regional power struggles, opposing ideologies, and fears over nuclear weapons. What makes this conflict particularly alarming for global markets is its proximity to the Strait of Hormuz, a narrow waterway through which nearly one-fifth of the world's oil supply travels. Any disruption there can push oil prices sharply higher, stoke inflation, and force central banks to hold off on cutting interest rates. Investors, sensing the danger, have been moving their money into safe assets like gold and the US dollar.

This case study looks at how recent developments in the Iran-Israel conflict have affected global financial markets, focusing specifically on three asset classes: equities, gold, and crude oil.

Recent Conflict Developments

Iran and Israel share a deeply hostile relationship rooted in the 1979 Islamic Revolution, after which Iran severed all ties with Israel and began funding militant groups like Hezbollah and Hamas. What followed were decades of proxy wars, cyberattacks, assassinations, and covert operations. Tensions crossed a critical threshold in 2024 when both countries exchanged direct missile strikes for the first time, abandoning the long-standing norm of fighting through intermediaries. By 2025, the conflict had escalated into a full-scale 12-day war involving Israeli strikes on Iranian nuclear and military facilities. This historic escalation forms the immediate backdrop for the market disruptions examined in this case study.

By early 2026, the two countries were locked in an active military confrontation. What had once been a shadow war fought through proxies and covert channels had now turned into open exchanges of missile strikes and airstrikes, with profound consequences for regional stability, civilian infrastructure, and energy supply chains.

The intensification of the Iran-Israel conflict in early 2026 brought considerable disruption to global financial markets. The immediate trigger was the launch of coordinated US and Israeli airstrikes on Iranian military infrastructure on February 28, codenamed Operation Epic Fury. According to Bloomberg, markets reacted quickly, with oil futures jumping and major equity indices, including the S&P 500 and Nikkei, trading lower as investors grew anxious about what might come next.

As the conflict deepened through early March, Iran retaliated by closing the Strait of Hormuz, cutting off a waterway that, according to the International Energy Agency, accounts for 20% of global oil flows. This was a significant development. Reuters reported that Brent crude crossed the $100/ barrel mark in response, a level not seen since the Russia-Ukraine war. Stock markets across the Gulf and Asia came under selling pressure during this period, though responses varied by region.

Further adding to market stress, Qatar declared force majeure on a portion of its LNG exports after energy infrastructure sustained damage, tightening global gas supplies. The International Energy Agency flagged this as one of the more serious energy supply disruptions in recent decades, and European gas prices rose noticeably as a result. While some of the early panic in markets did stabilize over time, the overall period marked a genuine and well-documented episode of geopolitical risk feeding directly into financial market uncertainty.

Methodology

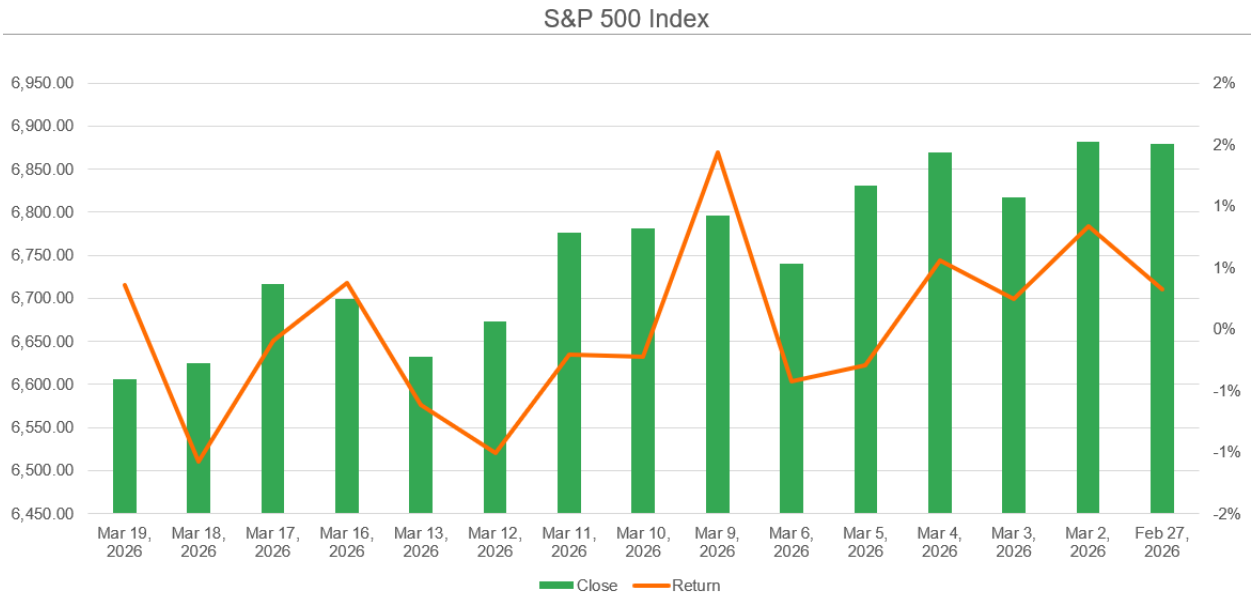
This case study employs a descriptive, trend-based analysis to examine the short-term reactions of key financial assets to the escalation of the Iran-Israel conflict in early 2026. The observation window covers approximately 20 days during the peak conflict intensity period from 27th February to 20th March 2026, selected to capture the most pronounced and immediate market movements.

All data was sourced from Yahoo Finance, which provides accessible and consistent historical price records. Three asset classes were selected for analysis based on their direct relevance to the geopolitical situation. The S&P 500 and Nifty 50 were chosen as representative equity indices for the US and Indian markets, respectively. Gold was included as a widely recognized safe-haven asset. Brent crude was selected, given the conflict's direct implications for global oil supply and energy markets.

Price trends across these assets were observed and compared over the defined timeframe to identify patterns of market response to key conflict developments. No advanced statistical modeling was applied; the analysis relies on directional price movements and percentage changes to draw meaningful, evidence-based inferences.

Market Reaction Analysis

Equity Market Reaction Analysis

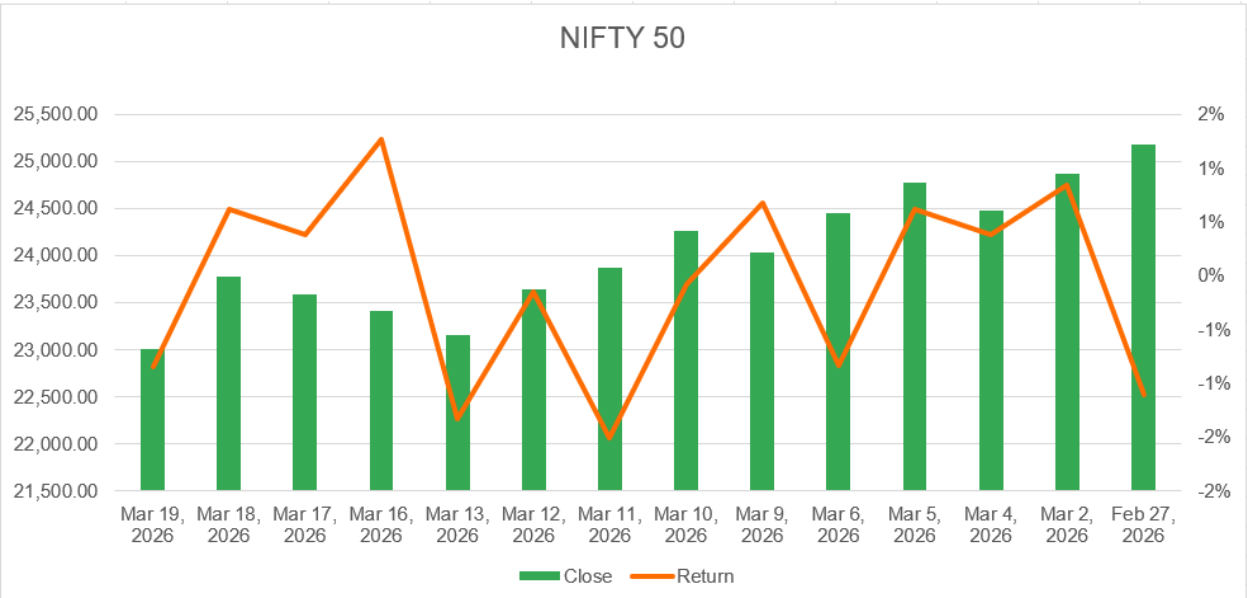


The above chart shows the S&P index movements for our key observation period from 27th February to 20th March, monitored using the closing prices along with the intraday returns.

The S&P 500 opened the observation period on February 27 at approximately 6,870, reflecting a stable pre-conflict baseline. As the airstrikes on Iranian infrastructure were launched on February 28, the index dipped modestly to around 6,880, suggesting that while markets were alert, the initial reaction was measured rather than panicked.

The more pronounced selling came through early March. By March 3 and 4, the index had slipped to the 6,810 to 6,860 range as news of Iranian retaliation and growing fears around the Strait of Hormuz began to weigh on sentiment. March 6 marked one of the more notable single-day drops, with the index falling to around 6,740, coinciding with the period when oil prices were spiking, and Qatar declared force majeure on its LNG exports. This combination of energy supply concerns and broader uncertainty clearly rattled equity investors.

From March 9 onward, the index began a gradual recovery, climbing back toward the 6,800 mark and eventually reaching around 6,870 by March 19. This recovery reflected a degree of stabilization in the conflict narrative, and investors recalibrated their positions once the immediate shock began to fade. Overall, the S&P 500 showed resilience, with declines remaining contained rather than cascading into a broader selloff.



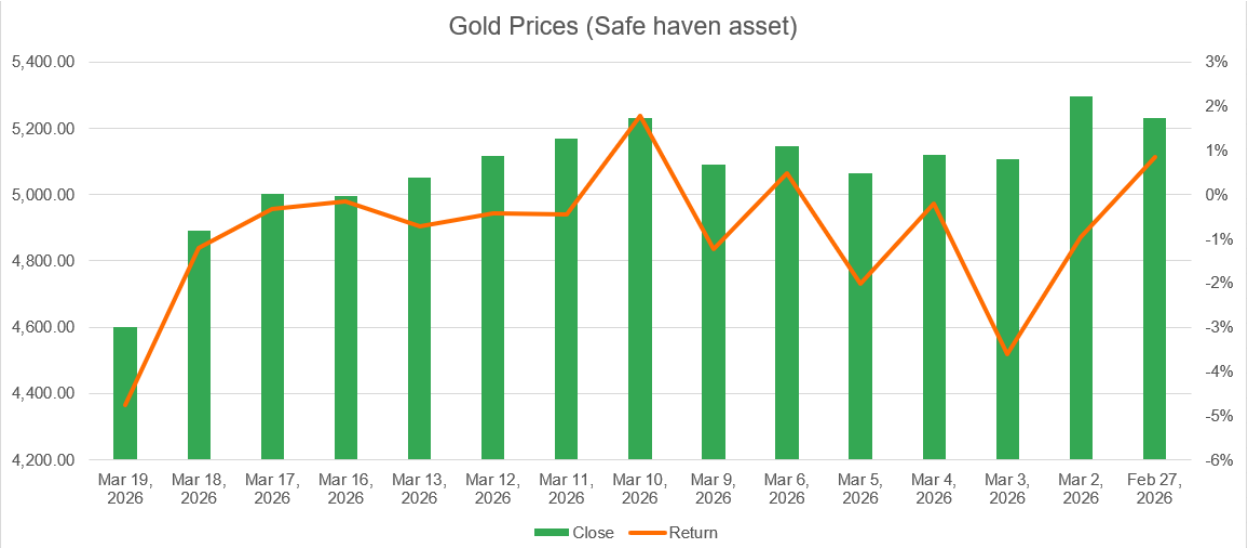
The above chart shows the NIFTY index movements for our key observation period from 27th February to 20th March, monitored using the closing prices along with the intraday returns.

The Nifty 50 told a more volatile story over the same period. Starting at approximately 25,200 on February 27, the index fell sharply to around 22,500 by early March, a drop of 11% within just a few trading sessions. This was a steeper reaction compared to the S&P 500, reflecting India's greater sensitivity to oil price shocks given its position as one of the world's largest oil-importing nations.

The sharpest declines occurred around March 11 to 13, when the index touched its lowest point, near 22,200 to 23,100. This period aligned directly with the closure of the Strait of Hormuz and the cascading disruptions to energy supply chains, which posed a particularly acute risk to India's import bill and current account. Nifty's reaction was therefore not just about global risk sentiment but had a very direct domestic economic dimension.

A partial recovery followed from mid-March onward, with the index climbing back to around 23,800 to 24,700 by March 16 to 18. However, unlike the S&P 500, the Nifty 50 did not fully recover its pre-conflict levels within the observation window, closing around 23,000 on March 19. This suggests that Indian markets remained more cautious and exposed as the conflict continued.

Gold (Haven asset) Price Reaction Analysis



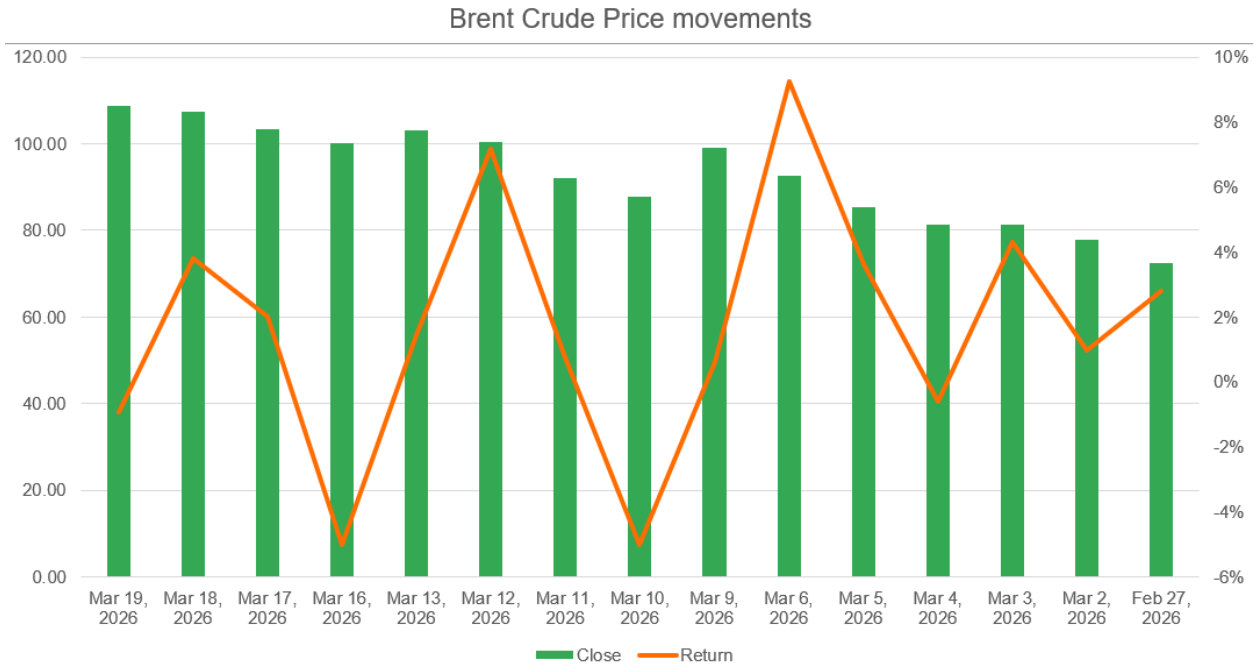
The above chart shows the gold price movements for our key observation period from 27th February to 20th March, monitored using the closing prices along with the intraday returns.

Gold's behavior over this period was broadly consistent with its traditional role as a safe-haven asset, though the pattern was more nuanced than a simple straight line upward move. Starting at around $5,220 on February 27, gold initially dipped to approximately $5,100 on March 3, which may reflect some early profit taking or portfolio rebalancing before the full risk picture became clear.

The metal then found its footing and climbed steadily through the first two weeks of March. It reached a peak of around $5,300 on March 2, before pulling back slightly and then trading in a range of $5,050 to $5,170 through the middle of the month. The elevated price levels throughout this period, consistently above the pre-conflict baseline, confirm that investors were actively seeking shelter in gold as geopolitical uncertainty persisted.

By March 18 and 19, gold had eased back toward $4,900 to $4,600, suggesting that as some of the acute conflict anxiety began to subside, a portion of the safe-haven premium was unwinding. Nevertheless, gold held up better than equities over the same window, reinforcing its role as a portfolio hedge during geopolitical stress.

Brent Crude Price Reaction Analysis



The above chart shows the Brent Crude price movements for our key observation period from 27th February to 20th March, monitored using the closing prices along with the intraday returns.

Brent Crude showed the most dramatic and direct response to the conflict among all three assets, which is unsurprising given that the Strait of Hormuz sits at the heart of this crisis. Starting at around $72 per barrel on February 27, prices rose steadily through early March as the airstrikes and later Iranian retaliation began threatening the security of key shipping lanes.

The most significant surge came around March 6, when Brent briefly touched close to $99 to $100 per barrel, its highest level in the observation window. This spike coincided precisely with the effective closure of the Strait of Hormuz and the force majeure declarations on LNG exports, both of which sent a strong signal to energy markets that supply disruptions were no longer a tail risk but an immediate reality.

What is particularly interesting is that prices did not sustain those peaks. By March 10 to 11, Brent had pulled back to around $88 to $92, and by March 13, it dipped further to around $103 before another brief spike to $100 on March 12. From mid-March onward, prices gradually eased back toward the $100 to $108 range, remaining elevated compared to pre-conflict levels but no longer in panic territory. This pattern suggests that while the market price was at a significant risk premium, it also began adjusting as some supply rerouting and diplomatic signals provided partial reassurance.

Integrated Analysis

The market response to the Iran and Israel conflict in early 2026 was coordinated, consistent, and telling. Across all three assets, a clear pattern emerged: equities fell, oil prices surged, and gold held firm.

The reaction unfolded in three phases. In the immediate aftermath of the airstrikes on February 28, markets moved into cautious alertness. Equities slipped modestly, oil ticked higher, and gold edged up, but there was no panic. Investors were watching and waiting. The second phase, through the first two weeks of March, was where sentiment shifted decisively. The closure of the Strait of Hormuz and the disruption to LNG exports hit markets in rapid succession, triggering genuine fear. Brent Crude surged toward $100 per barrel, the Nifty 50 fell 11%, and capital moved aggressively out of equities and into safe havens. This was the period of peak volatility across all assets, with crude recording single-session gains of 9% and Indian equities experiencing their steepest daily declines of the entire window. By mid-March, a third phase of gradual stabilization took hold, as investors began recalibrating rather than retreating further.

The divergence between the S&P 500 and Nifty 50 is one of the most instructive aspects of this episode. While the S&P 500 recovered close to its pre-conflict levels by late March, the Nifty 50 remained meaningfully below its starting point throughout, reflecting India's structural vulnerability to oil price shocks as a major import-dependent economy. Developed markets absorbed the blow; emerging markets wore it.

Gold's behavior reinforced this picture. Rather than spiking dramatically, it held steadily elevated throughout the stress period and only began easing once equities started recovering, serving as a quiet but reliable barometer of underlying investor anxiety.

By mid to late March, volatility had begun to compress across all assets as the conflict narrative stabilized. However, the compression was more complete in US markets than in Indian or energy markets, suggesting that residual uncertainty continued to linger in the assets most directly connected to the conflict's economic consequences. Taken together, the volatility patterns observed here are consistent with the academic literature on geopolitical risk, which typically describes an initial spike in uncertainty followed by a gradual mean reversion as markets find a new equilibrium, however fragile that equilibrium may be.

Taken together, the data illustrates a well-established principle: geopolitical shocks that threaten energy supply infrastructure produce fast, broad, and asymmetric market disruptions, hitting energy prices and import-dependent economies hardest while safe-haven assets quietly absorb the fear.

Key Insights

- The closure of the Strait of Hormuz was the single most market-moving event of the period, triggering sharp and simultaneous reactions across all four assets at once.
- Brent Crude was the most volatile asset observed, recording its sharpest single-session gains around early March, directly reflecting the market's sensitivity to any threat against oil supply infrastructure.
- Among all assets analyzed, the Nifty 50 showed the steepest decline and was the slowest to recover, pointing to emerging markets bearing a disproportionate share of the stock compared to developed ones.
- The S&P 500 proved comparatively resilient, with declines remaining contained and a steady recovery visible from mid-March onward.
- Gold held consistently elevated levels throughout the stress period and eased only when equities began recovering, behaving less like a reactive trade and more like a steady refuge for cautious investors.
- Investor sentiment moved through three identifiable phases across the observation window: cautious alertness, peak fear, and gradual stabilization, each phase closely tied to a specific development in the conflict.
- Volatility was asymmetric across assets, with crude oil and the Nifty 50 experiencing the most intense swings while gold remained steady throughout.
- Qatar's force majeure on LNG exports extended the market disruption beyond oil alone, adding pressure on global gas supplies and European energy prices during an already stressed period.

Conclusion

This case study set out to examine how the escalation of the Iran and Israel conflict in early 2026 affected three key asset classes: equities, gold, and Brent Crude. The data observed over the 20-day window from late February to mid-March 2026 tells a clear and coherent story.

The conflict functioned as a classic geopolitical shock to financial markets. Brent Crude was the most immediately and severely affected asset, with prices climbing sharply as the Strait of Hormuz closure turned supply disruption fears into reality. Equity markets responded along predictable lines, with the Nifty 50 bearing far greater damage than the S&P 500, a reflection of the differing economic vulnerabilities between an oil-importing emerging market and a more insulated developed one. Gold, true to its historical character, provided a steady store of value throughout the stress period, neither spiking dramatically nor collapsing, but holding firm while other assets swung sharply.

What the data reveals is that the market impact of this conflict was not random or disproportionate. It was structured, logical, and consistent with how financial markets have historically responded to geopolitical risks that threaten energy infrastructure. The assets most structurally exposed to the shock absorbed the most pain, safe havens did their job, and markets gradually found their footing as the immediate intensity began to stabilize in mid-March.

That said, this study is limited to a narrow and acute observation window. The longer-term consequences of this conflict remain an open question. How central banks respond to sustained energy inflation, whether supply chains reconfigure around the disruption, how emerging market currencies and current account deficits adjust over time, and whether investor appetite for Gulf and Asian assets undergoes a structural shift are all questions that fall outside the scope of this analysis but deserve serious examination going forward.

The Iran and Israel conflict of 2026 serves as a recent and well-documented reminder that geopolitical risk, when it strikes at the heart of global energy infrastructure, produces fast, measurable, and uneven consequences across financial markets. The short-term picture is now reasonably well understood. The full story, however, is still being written.